

**Inflation and cost of Living Pressure: The Causes of recent inflation trends in Canada and
Their Impact on households and businesses**

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Introduction

Canada, much like many countries in the world, experiences inflation. The term "inflation" has a lengthy history in economics, during which the definition has changed over time. Initially, in the mid-1800s, it referred to an increase in the money supply, particularly currency not supported by the Gold Standard. Later, the definition shifted to mean an increase in the money supply that wasn't backed by the rise in demand for money, causing overall prices to increase. More recently, following the Keynesian revolution, inflation has generally meant a surge in prices over a period of time (Bryan 1997; as cited in Hansen, K. J. M., & Newman, J. R., 2023). This paper will seek to understand the literature written about Inflation, provide an analysis of said literature, and finally provide policy recommendations to help curb inflation. These analyses will serve to provide some explanation for the rising costs of living within Canada.

Literature Review

Economic theories offer multiple perspectives on the causes of inflation. Some of the most common theories are the quantity theory of money, the demand-pull theory, the Cost-Push theory and the structural theory.

The quantity theory of money (QTM) argues that the money supply primarily drives inflation. According to this theory, increasing money circulation leads to a proportional price rise over time - assuming that the velocity of money (the number of times the average dollar changes hands over a single year) and real GDP remain constant. (e.g. if the amount of money in an

economy doubles, price levels will also double). A shift in the money supply affects the supply of products and services, the price levels, or both. The same forces that influence the supply and demand of any good/service also influence the money supply. In other words, a rise in the money supply simultaneously raises inflation as money loses value. Purchase power declines as inflation increases. It takes more currency to purchase the same amount of goods or services when a unit of currency's buying power declines. The quantity theory of money, originally founded by Nicolaus Copernicus and later refined by economists like Milton Friedman, suggests that a rapid increase in the money supply is a fundamental driver of inflation. Monetarists (like Friedman) say that when the money supply grows faster than the economic output, it causes high inflation—too much money ends up chasing too few goods. They recommend keeping money growth slower than economic output to keep prices stable. (Barone, 2022).

While a temporary boost in the money supply might help a struggling economy, its long-term effects are hard to predict. Instead of constantly tweaking government spending or taxes, they suggest a steady, gradual reduction in the money supply to help the economy reach full employment. While Canada doesn't strictly follow a pure monetarist rule, several recent actions of the Bank of Canada reflect monetarist ideas—the belief that controlling the money supply is key to maintaining price stability. For example, during the COVID-19 pandemic, the Bank of Canada added a lot of money into the economy (quantitative easing). Later, to avoid having too much money—which can push prices up too fast (resulting in high inflation)—they started pulling some of that money back out (this is known as quantitative tightening). In a Reuters report from January 2025, officials stated they expect to end their quantitative tightening program soon and resume “business-as-usual.” asset purchases to keep settlement balances within a certain range. This emphasis on regulating the size of its balance sheet, and

consequently the growth of the money supply, stems from the monetarist belief that inflation can result from uncontrolled money supply expansion (Reuters Staff, 2025).

The demand-pull theory states that inflation occurs when aggregate demand exceeds aggregate supply. While demand for goods/services increases, the supply remains the same, thus increasing prices. This theory, rooted in Keynesian economics, suggests that prices increase when consumer and business spending increases faster than an economy's ability to produce goods and services.

The Keynesian school believes that inflation results from economic presumes such as the rising cost of production and increase in aggregate demand (the total demand for goods and services produced in the economy). Government programs like the CERB provided during the COVID-19 pandemic are examples of demand-driven inflation (Chen, 2022). Approximately 27% of the government's nearly \$82 billion in spending during the COVID-19 pandemic—roughly \$22.3 billion—was poorly targeted. The \$11.8 billion in CERB payments to young individuals between the ages of 15 and 24 living in high-income homes and the additional \$7.0 billion that went to spouses in similarly high-income households were included in this waste. An additional \$27.4 billion in spending needs to be looked into, and \$4.6 billion was paid to recipients who weren't meant to receive CERB and other benefits. 434 very young children, 391 persons who had already passed away, and 1,522 inmates were among the improbable receivers of some of the overpayments. Also, over 51,000 employers received \$9.9 billion in CEWS payments even though they did not show a big enough drop in revenue to qualify for these funds Hill, 2023). Although CERB was designed to help people during tough times, this influx of money increased overall demand. At the same time, many businesses were struggling to produce or supply goods due to lockdowns, supply chain disruptions, and other pandemic-related issues and many

individuals who did not qualify for benefits receiving benefits resulted in a situation where more money was chasing fewer products, a classic example of the demand-pull inflation.

The cost-push theory attributes inflation to rising production costs, including labour and raw materials. When businesses face higher costs, they pass them on to consumers through price increases. The wage-price spiral, where workers demand higher wages to match rising costs, exacerbates this type of inflation. Cost-push inflation results from general increases in the costs of the factors of production. This includes the costs of land, labour, capital and entrepreneurship. As these input costs increase, producers aim to keep their profits high. Hence, this results in high prices for their goods and services. If these higher production costs occur across the country (This is partially evident when there's a negative economic shock), Unexpected causes of cost-push inflation are often natural disasters, e.g., floods, earthquakes, fires, tornadoes or pandemics resulting in widespread increases in consumer prices as businesses transfer the added costs onto consumers. Consequently, consumer prices get driven up by the rising costs of production. (Kenton, 2024).

The structural theory of inflation is caused by “structural” weakness in a country's capacity to produce goods or maintain an adequate supply flow. one version of this is “wage stickiness.” This theory claims that it's easier for companies to raise wages than lower wages because workers resist pay cuts. If productivity drops and companies can't lower wages, they often lay off workers; higher wages boost demand even if production is low, which can cause inflation. This inflation then reduces purchasing power—even if the numbers on paychecks don't change, workers can afford less, which is like getting a pay cut. Another idea focuses on developing countries. Here, underproductivity—caused by poor infrastructure, lack of capital or

skilled workers, or unhelpful government policies—means these countries can't produce enough goods. They often import more than they export, which can weaken their currency. A weaker currency makes imported goods more expensive, pushing domestic prices and resulting in inflation (Montevirgen, 2025)

Analysis

The history of inflation in Canada traces back to the 16th century, gaining significant attention post-World War II. Inflation is characterized by rising prices and diminishing purchasing power, with the Canadian Consumer Price Index (CPI) serving as a crucial metric for measuring these changes. Historically, inflation became prominent during the American Civil War, reflecting the depreciation of currency. In the latter half of the 20th century, inflation rates fluctuated significantly, influenced by various economic factors, including wage increases, demand fluctuations, and monetary supply pressures (Janbeih & Pelekais, 2024).

The 1980s witnessed alarmingly high global inflation rates, paralleling those seen in Canada during that time. In recent years, inflation has surged, particularly following the COVID-19 pandemic, which saw the Canadian government implementing substantial monetary disbursements. The Bank of Canada, established in 1914, has played a pivotal role in monitoring inflation through the CPI, which tracks the cost of a fixed basket of consumer goods. From 2020 to 2023, the CPI indicated a 15.84% increase, translating to an annual inflation rate of 5.02%. Factors contributing to this recent inflationary trend include supply chain disruptions and rising operational costs (Janbeih & Pelekais, 2024).

Inflation has become a major concern in Canada, particularly in the post-pandemic recovery period. Rising prices affect both households and businesses, leading to financial strain

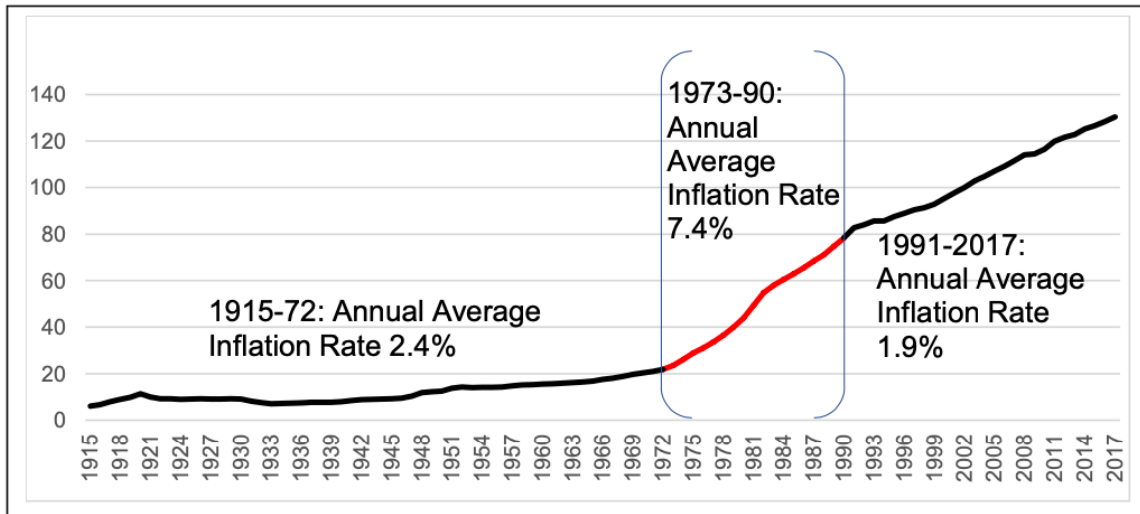
and economic uncertainty. This analysis examines these impacts using insights from "Inflation Targeting in Canada Re-evaluated" by Pushpa Kumari, along with recent economic data.

One of the most immediate effects of *inflation on households* is the erosion of purchasing power. As prices rise, the same amount of money buys fewer goods and services. This is particularly concerning for low- and middle-income households, who spend a larger proportion of their income on essential items such as food, housing, and transportation. According to a recent survey, nearly half of Canadians reported that rising prices significantly impacted their ability to meet day-to-day expenses, with food inflation being a major concern. Rising inflation has also led to increased housing costs, making it more challenging for Canadians to afford homes. In spring 2024, 38% of Canadians expressed concern about their ability to afford housing or rent due to rising prices. The combination of high demand for housing and limited supply has driven prices up, pushing homeownership further out of reach for many families. This situation has resulted in increased reliance on rental markets, which have also seen significant price hikes. To cope with rising costs, many households have turned to borrowing, leading to increased household debt levels. The financial pressures resulting from inflation have also taken a toll on the mental health of Canadians. Many individuals report feeling anxious and stressed about their financial situations, leading to increased feelings of isolation and depression. The rising cost of living has forced households to cut back on discretionary spending, impacting their overall quality of life (Kumari, 2020).

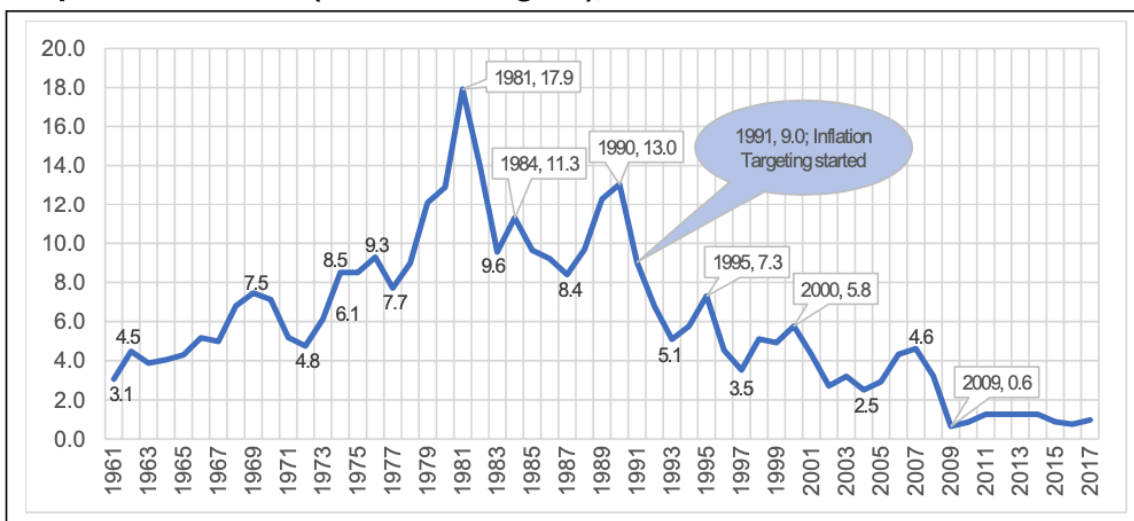
Businesses in Canada have faced rising input costs due to inflation, which has affected their profitability. In the third quarter of 2024, over half of all businesses reported that rising inflation was a significant obstacle to their operations. The increased costs of raw materials, labor, and transportation have forced many companies to either absorb these costs or pass them

on to consumers through higher prices. The current inflationary environment has led businesses to reevaluate their pricing strategies. Traditionally, companies have been cautious about raising prices for fear of losing customers. However, with inflation becoming more entrenched, many businesses have started to increase their prices more aggressively. This shift has been noted by the Bank of Canada, which has observed that corporations are less hesitant to pass on increased costs to consumers. As inflation continues to rise, consumer behaviour is also changing. Many Canadians are becoming more price-sensitive, seeking discounts and alternatives to manage their budgets. This shift in consumer behaviour can lead to decreased sales for businesses that do not adapt to the changing market conditions. Companies that rely heavily on discretionary spending may find themselves particularly vulnerable as consumers cut back on non-essential purchases. Inflation can also impact business investment decisions. Companies may become hesitant to invest in new projects or expand their operations due to uncertainty about future costs and consumer demand. Some businesses may prioritize short-term financial stability over long-term growth, leading to a lack of innovation and competitiveness in the market.

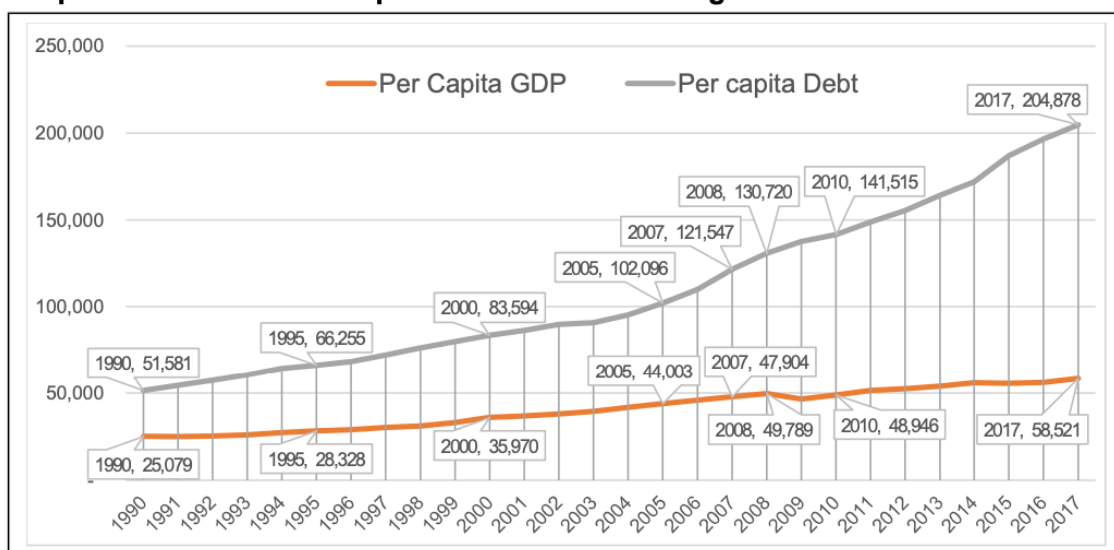
Graph 1: Canada's annual Consumer Price Index (2002=100), 1915-2017 and sub-periods



Source: Calculation from Statistics Canada, Table 326-0021: Consumer Price Index (CPI), annual (2002=100).

Graph 10: Bank Rate (Annual Average %), 1961-2017

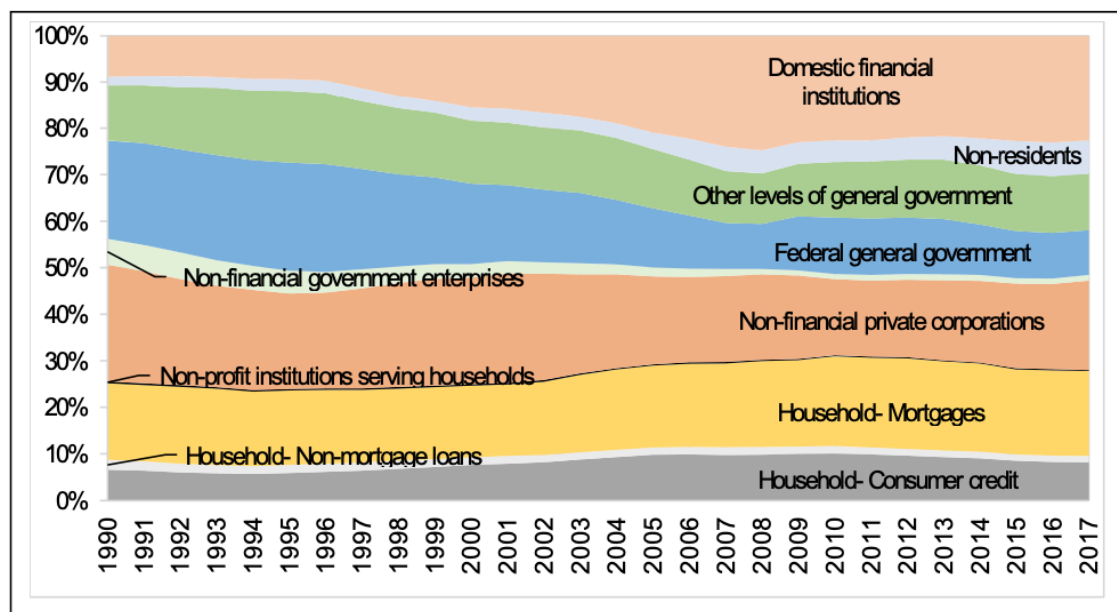
Source: Calculated from the monthly rates (reference same as for the Graph 11).

Graph 12: Canada's Per Capita GDP and Debt During 1990-2017

Note: Debt represents total debt outstanding held by households (consumer credit, non-mortgage loans, and mortgages), non-profit institutions serving households, non-financial private corporations, non-financial government enterprises, federal general government, other levels of general government, non-residents, and domestic financial institutions.

Sources: Following three Statistics Canada Tables were used to calculate per capita GDP and per capita Total debt – Table: 36-10-0104-01: Gross domestic product, expenditure-based, Canada, quarterly (x 1,000,000); Table 38-10-0234-01: Credit market summary table at book value, national balance sheet accounts (x 1,000,000); and Table 17-10-0009-01: Population estimates, quarterly.

Graph 13: Percentage Distribution of Total Debt by Different Sectors of Canada, 1990 to 2017



Source: Statistics Canada. Table 38-10-0234-01: Credit market summary table at book value, national balance sheet accounts (x 1,000,000).

Policy Recommendations

One possible solution to combat inflation is Inflation Targeting. Inflation targeting is when a country publicly sets a specific range of inflation they hope to achieve; one example being Canada setting a range between 1% - 3%, with a 2% goal and actively seeking to directly influence the inflation rate to achieve this goal. Inflation targeting is useful as a framework to begin basing monetary policy on, as the intended targets are typically set to be achieved over a medium period of 2-3 years. Many countries have begun adopting inflation targeting as it is a flexible framework to base monetary policy on, though it may not work for all countries (Jahan, n.d.).

Alongside Inflation targeting, there are two primary types of policies governments may implement to effectively curb inflation due to high demand. The first type are monetary policies designed to control the supply of money within the economy (Mathai, 2021). The Bank of

Canada controls this with the shifting Policy Interest Rate, or Overnight Rate; increasing the policy interest rate leads to higher interest rates on loans and mortgages which in turn discourages people from borrowing and slows down the economy. This chain effect of a slow economy typically leads to a higher number of people saving; which reduces demand in multiple markets. Reduced demand keeps prices stable as the disrupted supply is then able to meet the demands accordingly (Bank of Canada [BOC], 2020)

The second type are fiscal policies, which are policies that determine government spending and taxation. Fiscal policies such as those designed to increase personal income tax induce a similar effect in causing many citizens to save, which in turn slows down the economy and reduces demand. Fiscal policy is not the first considered solution in reducing inflation as drafting legislation takes time and is not always easy to repeal. (Mathai, 2021). However, government investment in equipment and developing technology, as well as training and educating from increased taxation may lead to increased productivity in workers; which in turn leads to higher profits in companies where increased revenue may then be used to adapt to higher production costs without increasing the prices of their product (BOC, n.d.).

The high inflation rates experienced by the world following 2020 largely were a result of a disruption in the world-supply chain due to Covid-19 and Russia's invasion of Ukraine (BOC, 2022). In regard to Canada, as of August 2024 Canada's inflation rate has substantially decreased to the target value of 2%, and stabilized within the 1% - 3% range in contrast to its recent high of 8.1% recorded in June 2022 (BOC, 2022). The decline is a result of a number of factors; including the stabilizing global supply, as well as the Bank of Canada's raising of the policy rate gradually until its peak at 5% in July 2023 (WOWA, 2024). As of January 2025, the Bank of

Canada expects inflation expectations to return to form, with outliers being rent and mortgage interest costs, however, they are also experiencing a decline just at a slower pace (BOC, 2025).

Conclusion

Inflation is an issue, especially in light of COVID-19 which revealed many vulnerabilities within the global supply chain. In regards to theory, the quantity theory of money argues that the money supply drives inflation. The demand-pull theory states that inflation occurs when aggregate demand exceeds aggregate supply. The cost-push theory attributes inflation to rising production costs, including labour and raw materials. The structural theory highlights inefficiencies in an economy, such as supply chain disruptions and labour shortages, as causes of inflation. Inflation continues to be a major economic challenge in Canada, affecting both households and businesses. Rising prices have reduced purchasing power, increased housing costs, and led to higher debt levels, creating financial strain on Canadians. Businesses are also grappling with rising input costs, forcing them to adjust pricing strategies and investment plans. As the Bank of Canada works to stabilize inflation, a balanced approach is needed to support economic growth while protecting consumer well-being. In the immediate future inflation is expected to continue to stabilize at target levels. Moving forward, continued monitoring of the inflation rate as well as proactive policies in face of economic shocks will be crucial in ensuring long-term financial stability for Canada.

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